उत्तर प्रदेश ग्रामीण बैंक
Uttar Pradesh Gramin Bank

HO/01/IT/2025-26/82 **Date:22.05.2025**

Circular to all Branches & Offices
Issued by Information Technology Department

Re: Policy on Customer Protection Limiting Liability of Customers in Unauthorised Electronic Banking Transactions (Version 1.0) of the Bank

Branches & Offices are hereby informed that the Policy on Customer Protection Limiting Liability of Customers in Unauthorised Electronic Banking Transactions (Version 1.0) of the Bank has been approved by the Hon'ble Board of Directors through agenda item no.10 in its meeting no.01(01/2025) dated 07.05.2025. The policy will come into force with immediate effect & validity of the policy is for next three years from the date of approval. The approved Policy on Customer Protection Limiting Liability of Customers in Unauthorised Electronic Banking Transactions is attached here with this circular.

Kindly bring the content of this policy in the notice of all staff members of the Branches/Offices.

Yours faithfully,

Karanbir Singh

(Karanbir Singh)
General Manager

Enclosure: As above

Policy on Customer Protection
Limiting Liability of Customers in Unauthorised Electronic Banking Transactions

Version 1.0

Uttar Pradesh Gramin Bank
Information Technology Department
Head Office, Lucknow

Document Information

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1.0	N.A.	All Departmental Heads and Heads of Controlling Offices.	All Departments, Controlling Offices and Branches

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1. Introduction

With increase in Digital transaction, customer grievances related to unauthorised transactions have correspondingly increased. Keeping in view the same, the criteria for determining the customer liability in these circumstances have been reviewed by RBI. Also with the increased thrust on financial inclusion and customer protection, RBI through their communication DBR.No.Leg.BC.78/09.07.005/2017-18 dated 6thJuly 2017 issued guidelines to provide protection to customers, to increase/safeguard Digital Transactions and to limit liability of customers in unauthorised electronic banking.

Objective of the Policy:

This policy document aims to provide framework on limiting liability of customers against the risks arising out of unauthorized debits to customer accounts owing to unauthorized electronic banking transactions due to customer negligence / Bank negligence / banking system frauds / third party breaches and to clearly define the rights and obligations of customers in case of unauthorized transactions in specified scenarios to use electronic banking channel.

It also defines the maximum customer liability for the electronic banking transactions to make customers feel safe about carrying out electronic banking transactions. This is intended to provide boon to customer service to make customers feel safe about carrying out electronic banking transactions which helps to increase the trust in Digitalpayments and deepen the digital payments of the Bank.

2. Coverage:

Types of Electronic Banking Transaction

Broadly, electronic banking transactions can be divided into two categories:

Remote/ online payment transactions

Transactions that do not require physical payment instruments to be presented at the point of transactions e.g. internet banking, mobile banking, card not present (CNP) transactions, Pre-paid Payment Instruments (PPI), and

Face-to-face/ proximity payment transactions

Transactions which require the physical payment instrument such as a card or mobile phone to be present at the point of transaction e.g. ATM, POS, QR code based transaction etc

Any other transaction done by electronic mode and accepted by the Bank for debiting/crediting customer account.

3. Reporting of unauthorised transactions by customers to banks

The Bank is committed to ensure safety and security of electronic banking transactions carried out by its customers and shall act upon the unauthorized electronic banking transactions reported by the customers to the bank, based on the time of reporting, evidences and supporting documents submitted along with the complaints.

Branches must ensure to ask their customers to mandatorily register for SMS alerts and wherever available register for e-mail alerts, for electronic banking transactions. The bank will not provide fresh digital facility of ATM Debit/Credit Card to customers who do not provide mobile numbers to the bank. Branch to obtain the mobile number and attach the same with account opening form.

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In the case where customer reports unauthorized transactions in his/her account but SMS not received due to non-registration of mobile number by the branch concerned, despite customer having provided mobile number, then the branch is liable for such omission.
The SMS alerts shall mandatorily be sent to the customers, while email alerts may be sent, wherever registered. The customers must be advised to notify the bank about any unauthorised electronic banking transaction at the earliest after the occurrence of such transaction, and informed that the longer the time taken to notify the bank, the higher will be the risk of loss to the bank/ customer.

To facilitate this, banks must provide customers with 24x7 access through multiple channels (at a minimum, via website, phone banking, SMS, e-mail, IVR, a dedicated toll-free helpline, reporting to home branch, etc.) for reporting unauthorised transactions that have taken place and/ or loss or theft of payment instrument such as card, etc. Bank shall also enable customers to instantly respond by "Reply" to the SMS and e-mail alerts and the customers should not be required to search for a web page or an e-mail address to notify the objection, if any. Further, a direct link for lodging the complaints, with specific option to report unauthorised electronic transactions shall be provided by banks on home page of their website. The loss/ fraud reporting system shall also ensure that immediate response (including auto response) is sent to the customers acknowledging the complaint along with the registered complaint number. The communication systems used by banks to send alerts and receive their responses thereto must record the time and date of delivery of the message and receipt of customer's response, if any, to them. This shall be important in determining the extent of a customer's liability. The banks may not offer facility of electronic transactions, other than ATM cash withdrawals, to customers who do not provide mobile numbers to the bank. On receipt of report of an unauthorised transaction from the customer, banks must take immediate steps to prevent further unauthorised transactions in the account.

Immediate action to be taken by branch and further follow –up to be taken on detection of fraud:

As soon as it comes to the knowledge of the base branch /concerned department or any other officials of Bank through any mode of communication, the branch has to immediately block/de-register the channel from where the fraud has happened with the consent of customer so that the subsequent fraud attack on the particular account can be protected and liability of future fraud after notifying by customer may also be protected.

4. Scope

This policy covers procedural guidelines to be followed by Branch, Region and Head Office in case of fraud/ unauthorized transaction for the purpose of redressal, follow up and timely resolution.

5. Liability Policy

Liability of a Customer

RBI has fixed the liabilities of customer in Unauthorized Electronic Banking Transaction as follows-

5 (a) Zero Liability of Customer

A customer's entitlement to zero liability shall arise where the unauthorised transaction occurs in the following events:

(i) Contributory fraud**/ negligence/ deficiency on the part of the bank (irrespective of whether or not the transaction is reported by the customer).

(ii) Third party breach where the deficiency lies neither with the bank nor with the customer but lies elsewhere in the system, and the customer notifies the bank within **three working days** of receiving the communication from the bank regarding the unauthorised transaction.

** (A glossary to important terminologies are provided as Annex-1)

5 (b) Limited Liability of Customer

i) In cases where the loss is due to negligence by a customer, such as where he has shared the payment credentials, the customer will bear the entire loss until he reports the unauthorised transaction to the bank. Any loss occurring after the reporting of the unauthorised transaction shall be borne by the bank.

ii) In cases where the responsibility for the unauthorised electronic banking transaction lies neither with the bank nor with the customer, but lies elsewhere in the system
And
when there is a delay (of four to seven working days after receiving the communication from the bank) on the part of the customer in notifying the bank of such a transaction, the per transaction liability of the customer shall be limited to the transaction value or the amount mentioned in Table 1, whichever is lower.

Table 1: Maximum Liability of a customer in fraudulent transaction reported to the Bank (within 4 to 7days) under paragraph 5 (b) (ii)

Type of Account	Maximum Customer
• Basic Saving Bank Deposit accounts	Rs. 5,000/-
• All other SB accounts • Pre-paid payment Instruments and Gift Cards • Current /Cash Credit /Overdraft Account of MSMEs • Current Accounts/Cash Credit/Overdraft Account of Individuals with annual average balance (during 365 days preceding the incidence of fraud) /limit up to Rs. 25 lacs • Credit cards with limit up to Rs.5 lakh	Rs.10,000/-
• All other Current /Cash Credit / Overdraft Accounts • Credit cards with limit above Rs.5 lakh	Rs.25,000/-

5 (c) Full Liability of Customer

i) Customer shall bear the entire loss in cases where the loss is due to negligence by the customer, e.g. where the customer has shared payment credentials, Account/Transaction details, Internet Banking user Id & Password, Debit/ Credit Card PIN/ OTP / CVV /other details or where unauthorised debit was happened due to improper protection on customer devices like mobile/laptop/desktop leading to malware/ Trojan or Phishing/Vishing attack, clicked on unknown links etc. This could also be due to SIM deactivation by the fraudster. Under such situations, the customer will bear the entire loss until the customer reports unauthorised transaction to the bank. Any loss occurring after reporting of unauthorised transaction shall be borne by the bank.

ii) In cases where the responsibility for unauthorized electronic banking transaction lies neither with the Bank nor with the customer, but lies elsewhere in the system and when there is a delay on the part of the customer in reporting to the Bank beyond 7 working days, the customer would be completely liable for all such transactions.

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iii) If the delay in reporting is beyond seventh working day, the customer liability shall be determined as "customer will bear the entire loss until he reports the unauthorized transaction to the bank". Any loss occurring after the reporting of the unauthorized transaction shall be borne by the bank.

Summary of Customer's Liability

Overall liability of the customer in third party breaches, as detailed in paragraph 5 (a) (ii) and paragraph 5 (b) (ii), where the deficiency lies neither with the bank nor with the customer but lies elsewhere in the system, is summarised in the Table 2:

Table 2-Customer's Liability

Time taken to report the Fraudulent Transaction from the date of receiving the communication	Customer's liability
Within 3 working days	Zero liability
Within 4 to 7 working days	The transaction value or the amount mentioned in above table 1, whichever is lower
Beyond 7 working days	100% Liability (subject to Board Approval)

The number of working days mentioned in Table-2 shall be counted as per the working schedule of the base branch of the customer excluding the date of receiving the communication.

To determine the extent of a customer's liability, the communication systems used by the bank to send alerts and receive their responses thereto must record the time and date of delivery of the message and receipt of customer's response, if any, to them.

6. Reversal Time line for Zero Liability/Limited Liability of customer

On being notified by the customer, the bank will credit (shadow reversal) the amount involved in the unauthorised electronic transaction to the customer's account within 10 working days from the date of such notification by the customer (without waiting for settlement of insurance claim, if any). The credit shall be value dated to be as of the date of the unauthorised transaction.

Further, banks will ensure that:

(i) a complaint is resolved and liability of the customer, if any, established within 90 days from the date of receipt of the complaint, and the customer is compensated as per aforementioned provisions.

(ii) where it is unable to resolve the complaint or determine the customer liability, if any, within 90 days, the compensation as prescribed in aforementioned provisions is to be paid to the customer;

And

(iii) in case of debit card/ bank account, the customer does not suffer loss of interest, and in case of credit card, the customer does not bear any additional burden of interest.

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7. Dispute Resolution Process- Notifying the Bank in respect of Unauthorized Electronic Banking Transaction:

i) Customer is required to immediately report the unauthorized electronic banking transaction through various channels provided by the Bank and displayed at Bank website.

ii) On receipt of customer's complaint (notification), Bank will take immediate steps to prevent further unauthorized transaction in the account and by blocking/ deregistering customer from notified electronic channel.

iii) The timeline for resolving all such complaint will be 90 days from the date of receipt of the complaint. Customer is required to provide following details to report the unauthorized transaction-

- ✓ Channel details like channel name, location etc.
- ✓ Transaction details like transaction type, account, date, amount etc.
- ✓ Fraud incident details i.e. Modus Operandi
- ✓ Copy of FIR
- ✓ Compromised channel's working status – blocked/ unregistered

Bank on its own discretion, may also seek the following details/ documents from the customer to investigate the complaint.

- ✓ Claim Form (Bank will provide the format)
- ✓ Copy of FIR duly attested by Notary Public.
- ✓ An undertaking for loss amount upto Rs.25000/- and Affidavit for and amount above Rs. 25000/-
- ✓ Copy of a/c Passbook, which shows transactions date, time & amount (Bank Passbook 1st Page & 1 Month statement prior to fraudulent transaction to till date also required)/statement
- ✓ Photo copies of all pages of Passport, if applicable.
- ✓ Translated copy of documents in English duly attested by Notary Public, if the documents are in regional language.

8. Determination of Customer Liability

The burden of proving customer liability in case of unauthorised electronic banking transactions shall lie on the bank. Genuine and fraudulent transactions are differentiated on the basis of analysis of the pattern of transactions on the basis of amount, velocity/frequency, geographical feasibility of the transaction, analysis of negligence involved, a committee will be there to determine that whether reported transaction is genuine or fraudulent and to determine the associated liability of the customer/bank.

Committee for determining the Customer/Bank Liability & Genuinity of the Transaction towards reported unauthorized Electronic Banking Transaction

Sr. No.	Designation	Capacity
1.	General Manager	Chairman
2.	Assistant General Manager-IT	Convener
3.	Chief Manager-IT (CBS/Digital/Infra)	Member

4.	Chief Manager-Operations	Member
5.	Chief Manager/Sr. Manager (Fraud Risk Management)	Member
6.	Sr. Manager/Manager (IT/FI)) (Related to channel associated with reported transaction viz. UPI/Mobile Banking/Internet Banking/AePS/ATM etc)	Member
7.	Sr. Manager/Manager (Nodal for reporting on Central Payments Fraud Information Registry on DAKSH, RBI)	Member

- Quorum of the committee will be at least five members.

Customer's liability in case of unauthorised electronic banking transactions will be determined based on the following parameters:

Debit Card Transactions:

1. ATM Cash withdrawal and other POS transactions: Digital evidence related to use of physical Debit Card and PIN for the cash withdrawal and POS transaction, status of delivery of transaction alert/ OTP and other SMS send by bank.
2. E-Commerce and other OTP based transactions: If it is E-commerce transaction and other transactions where bank is sending OTP to customer then the status of OTP delivery.
3. Analysis of EJ-log.
4. Content of FIR Report.
5. Content of Customer letter.
6. Analysis of Time of reporting of fraud and time of transaction.
7. Analysis of card blocking.
8. CCTV footage: as and when required

** In case cash withdrawal is made from non-EMV compliant ATM Machine, and the transaction is reported as unauthorized by the card holder, bank will shift the liability on the Acquirer Bank by raising charge back under EMV Liability Shift as per guidelines of regulators & NPCI.

Mobile Application Transaction:

1. Digital evidence related to use of the customer handset, mobile number and Mobile Application Login/Transaction PIN.
2. Status of delivery of transaction alert/ OTP and other SMS send by Bank.
3. Content of FIR Report.
4. Content of Customer letter.
5. Analysis of Time of reporting of fraud and time of transaction.

Online Banking Transaction:

1. Digital evidence related to use of the IP, online banking Login/Transaction Password.
2. Status of delivery of transaction alert/ OTP and other SMS send by Bank.
3. Content of FIR Report.
4. Content of Customer letter.
5. Analysis of Time of reporting of fraud and time of transaction.

9. Reporting and Monitoring Requirements

This is important to put in place a suitable mechanism and structure for the reporting of the customer liability cases to the Board or one of its committees. The reporting shall, *inter alia*, include –

1. Volume/ number of cases
2. Aggregate value involved
3. Distribution across various categories of cases viz., card present transactions, card not present transactions, internet banking, mobile banking, ATM transactions, etc.

The Standing Committee on Customer Service-Customer Complaint Redressal in the bank shall periodically review the unauthorised electronic banking transactions reported by customers or otherwise, as also the action taken thereon, the functioning of the grievance redressal mechanism and take appropriate measures to improve the systems and procedures. All such transactions shall be reviewed by the bank's internal auditors.

10.Staff Accountability

Staff accountability in cases where Bank has incurred losses due to negligence on the part of the staff will be ascertained as per Bank's extant norms & guidelines.

11.Customer's Responsibility

- Bank will not be under obligation and responsible for the loss to the customers due to customer's carelessness in keeping cards, User ID, Login ID, PIN, OTP or other security information and not adhering "Do's and Don'ts" issued by Bank until and unless the Bank has been notified by the customer.
- The Bank will not be responsible for loss to the customer, if the customer acts fraudulently and/ or acts without reasonable care which has resulted in loss. Bank will also not be responsible for loss arising out of loss of cards, login ID, PIN, compromise of password or confidential information until and unless the bank has been notified of such loss/compromise and Bank has taken steps to prevent its misuse.
- The Bank will not be responsible for loss to the customer, if the customer has not notified his current Mobile number, Address, Email-ID with his base branch. This updated information is required to Bank to send Transaction Alert/ other information to customer.

12.Force Majeure

The Bank shall not be liable to compensate customers for delayed credit, if some unforeseen events including but not limited to civil commotion, sabotage, lockout, strike or other labour disturbances, accident, fires, natural disasters/calamities or other "Acts of God", Pandemic situation like COVID-19, War, damage to the Bank's facilities or of its correspondent , no connectivity, absence of the usual means of communication or all types of transportation etc., which are beyond the control of the Bank, prevent the Bank from performing Banking obligations within the specified service delivery parameters.

13. Restoration Power

Restoration power regarding the suspected fraud where there is zero customer liability or limited liability lies with Regional Manager/General Manager/Chairman as per the administrative power guidelines.

Further, a direct link for lodging the complaints, with specific option to report unauthorised electronic transactions should be provided by bank on home page of their website.

Putting in place a loss/ fraud reporting system that should also ensure that immediate response (including auto response) is sent to the customers acknowledging the complaint along with the registered complaint number.

The communication systems used to send alerts and receive their responses thereto must record the time and date of delivery of the message and receipt of customer's response, if any, to them. This shall be important in determining the extent of a customer's liability.

The bank may not offer facility of electronic transactions, other than ATM cash withdrawals, to customers who do not provide mobile numbers to the bank.

14.Review

The policy shall be reviewed on annual basis i.e. one year from the date of approval by the Hon'ble Board or till the next approval whichever is earlier. .

Any fresh/additional guidelines issued by RBI/NABARD/Sponsor Bank or any such statutory/regulatory/supervisory etc. body shall supersede this policy with concurrence of the Chairman subject to reporting/informing the Hon'ble Board.

The validity of the policy shall be three years from the date of approval of the Board. In case the policy cannot be reviewed on or before due date, The Chairman is authorized for allowing to continue with the policy for further three months from the due date of review.

End of the document

Annexure-1

Glossary on important terminologies:

Terminology	Explanation
Unauthorised Electronic Banking Transaction	A financial or nonfinancial transaction taking place in the Bank account of a customer, through any type of electronic mode of payment that was not done by the customer or his authorized agent or done without the customer's knowledge or authorization.
Contributory fraud	Involvement of Bank staff in wrongful or original deception, intended to result in financial or personal gain.
Negligence	Means one or combination of more than one on the following: Lack of proper care and attention, dereliction of duty, non-performance or non fulfilment of duty, acts of laxity, irresponsibility, inattention, inattentiveness, thoughtless-ness, un-mindfulness or forgetfulness.
Deficiency	Deficiency is any fault, imperfection, shortcoming or inadequacy in the quality, nature and manner of performance which is required to be maintained by or under any law for the time being in force or has been undertaken to be performed by a person in pursuance of a contract or otherwise in relation to any service- as per Sec 2 (1) of the Consumer Protection Act 1986.
Third Party Breach	Third party breach means where the deficiency lies neither with the bank nor with the customer but lies elsewhere in the system.
Service	Services means service of any description which is made available to potential users and incudes facilities in connection with banking, financing but does not include the rendering of any service free of charge or under a contract of personal service as per Sec 2 (1) of the Consumer Protection Act 1986.
Payment Credentials	Payment credentials are the confidential information like ATM PIN, CVV, OTP, UPI PIN etc., which are the unique, exclusive and secretive possessions of an individual customer, required for effecting a payment through electronic mode.
Acquirer Bank	Bank whose terminal is used for processing transactions which was initiated by our card holder.

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